

Examples: A more striking contrast was afforded by the price of Barnhart Bros. and Spindler Company First and Second Preferred (both guaranteed as to principal and dividends by American Type Founders Company) in relation to the price of the guarantor's own preferred stock which was not a fixed obligation. Additional examples of this point are afforded by the price of Huyler's of Delaware, Inc., Preferred, guaranteed by Schulte Retail Stores Corporation, as compared with the price of Schulte Preferred; and by the price of Armour and Company of Delaware guaranteed preferred, as compared with the preferred stock of the guarantor company, Armour and Company of Illinois. Some comparative quotations relating to these examples are given below.

**Comparative Prices and Yields of Guaranteed Securities
and Securities of the Guarantor***

Issue	Date	Price	Yield, %
San Antonio & Aransas Pass 1st 4s/1943 (GTD)	Jan. 2, 1920	56 ¹ / ₄	8.30
Southern Pacific Co. Debenture 4s/1929	Jan. 2, 1920	81	6.86
Barnhart Bros. & Spindler 7% 1st Pfd. (GTD)	1923 low price	90	7.78
Barnhart Bros. & Spindler 7% 2d Pfd. (GTD)	1923 low price	80	8.75
American Type Founders 7% Pfd	1923 low price	95	7.37
Huyler's of Delaware 7% Pfd. (GTD)	April 11, 1928	102 ¹ / ₂	6.83
Schulte Retail Stores 8% Pfd.	April 11, 1928	129	6.20
Armour of Delaware 7% Pfd. (GTD)	Feb. 13, 1925	95 ¹ / ₈	7.36
Armour of Illinois 7% Pfd.	Feb. 13, 1925	92 ⁷ / ₈	7.54

* If the reader traces the subsequent history of the various issues in this table, he will find a great variety of developments, including assumption through merger (San Antonio and Aransas Pass Railroad), redemption (Barnhart Brothers and Spindler), and default (Huylers of Delaware, Inc.). But the fact that the guaranteed issues were *relatively* undervalued is demonstrated by the sequel in each case.

It is obvious that in cases of this sort advantageous exchanges can be made from the lower yielding into the higher yielding security with no

It seems clear to us that these statements misinterpret the essential character of the obligation under a guarantee. Southern Pacific met the San Antonio and Aransas Pass bond interest deficit, not out of "wisdom" but by compulsion. The strength of a guaranteed bond *may be very much greater than* that of the corporation issuing it, because that strength rests upon the dual claim of the holder against *both* the issuing corporation and the guarantor.